COTTON MARKETING WORKERS' UNION OF ZIMBABWE
versus
COTTON COMPANY OF ZIMBABWE LIMITED

HIGH COURT OF ZIMBABWE
DEMBURE J
HARARE; 25 February 2026

Civil Trial – Ruling on Preliminary Legal Issues

P Seda, for the plaintiff
R Chatereza, for the defendant

DEMBURE J: This matter was placed before me for trial. At the Pre-Trial Conference (*"PTC"*) held before CHITAPI J, the parties filed a statement of facts divided into those agreed and those in dispute, together with their Joint PTC minute. Arising therefrom were both legal and factual issues for determination before me. On 20 November 2025, when the parties' legal representatives appeared before me, I issued a consent order outlining the timelines within which the parties had to file their written submissions on the legal issues which are resolvable before we can proceed with the trial. The parties duly filed their written submissions as directed, and I accordingly reserved my judgment *sine die*.

BACKGROUND FACTS

The following facts are common cause:

1.1 The plaintiff is a duly registered trade union in the cotton industry, and some of its members are the defendant's employees. The exact number of plaintiff's members varies from month to month and season to season, with the highest subscription during the cotton farming and harvesting seasons.

1.2 The defendant is a registered limited liability company conducting business in the cotton industry and employs some, but not all, of the plaintiff's members.

1.3 The plaintiff's members are required to pay union dues monthly to the plaintiff. The union dues are collected through the check-off scheme by the employer from the employees and transferred to the trade union or through any other method as may be agreed or failing such agreement by written authorisation from an employee who is a member of the union in terms of s 54(1) of the Labour Court Act [*Chapter 28:01*] (*"the Act").*

1.4 Further, as stated in the statement of agreed facts, it was recorded by the parties that the defendant admits liability to pay to the plaintiff union dues in the amount of US$61,457.99 on behalf of the plaintiff's members in accordance with the duly filed stop orders forms.

1.5 On 16 October 2024, the plaintiff sued out a summons against the defendant for payment of the following:

> "a. US$432 408.83 (Four Hundred and Thirty-Two Thousand Four Hundred and Eight Dollars Eighty-Three Cents) being union dues collected by the Defendant from its employees and not remitted to the Plaintiff.
> b. Interest on the capital sum at the prescribed rate with effect from the 12th of September 2024 to the date of payment in full.
> c. Costs of suit on a legal practitioner and client scale."

The plaintiff pleaded that the defendant had been collecting union dues on its behalf from the defendant's employees who are the plaintiff's members in terms of s 54(1) of the Act from sometime in 2022. Further, as of May 2024, the sum accrued and not remitted to the plaintiff amounted to US$432,408.83. It was alleged that the defendant had refused, neglected and or failed to pay the sum due in union dues to the plaintiff.

The defendant entered an appearance to defend and also filed its plea. In the plea, the defendant had disputed that the plaintiff was a legally registered trade union and that its constitution empowered it to institute these proceedings. It was contended that the plaintiff had failed to provide consistent and exact membership data necessary to properly calculate the union dues. It further contended that it was absolved from any liability to remit union dues following the failure by the plaintiff to provide valid and complete written authorisations from subscribing members in accordance with s 54 of the Act. It denied owing the plaintiff the amount claimed, citing errors and discrepancies in gross earnings calculations that were affecting union dues. It was also argued that the claim lacked legal basis as it was in United States dollars without the

option of settlement in local currency. These averments in the plea were disputed in the plaintiff's replication.

Following the closure of pleadings, the matter was referred to a PTC before CHITAPI J. On 7 July 2025, the matter was referred to trial on the following issues:

> "a. **Legal issues**
> (i) Whether or not the payment plan which was issued by the Defendant to the Plaintiff on a without prejudice basis, but partly performed, is enforceable at law.
> (ii) If so, whether the Defendant is liable to pay the claimed amount.
> b. **Factual issues**
> i. Whether or not the Plaintiff is owed USD$432,408.83 (Four Hundred and Thirty-Two Thousand Four Hundred and Eight Dollars and Eighty-Three Cents) by the Defendant in union dues.
> ii. Whether the Defendant's shared monthly schedules are further proof of the former's monthly obligation to pay union dues to the latter.
> iii. If so, whether the Defendant is estopped from denying or contradicting its previous undertakings to pay the Plaintiff."

It was not in dispute that, before the proceedings were instituted, written communications were exchanged by the parties in respect of the settlement of the debt. In particular, the letters thereof are at pp 49 to 58 of the record. What became in contention are the letters written by the defendant to the plaintiff concerning the settlement of the debt and inscribed with the words "WITHOUT PREJUDICE". In particular, the one which provided a payment plan to clear the outstanding debt due dated 23 July 2024. There was no dispute that the defendant paid the sum of US$5,000.00 on 4 September 2024 following the said payment plan. The dispute arose as to whether that document is enforceable against the defendant. In other words, would it be admissible to prove the defendant's liability for the claim? This was the essence of the first legal issue. In other words, the court must resolve the question whether the said communication is privileged and inadmissible to establish the defendant's liability.

Parties filed written submissions addressing the agreed legal issues that arise.

PARTIES' WRITTEN SUBMISSIONS

It was submitted for the plaintiff that the issues which must be resolved are:

> "a. Whether or not the correspondences exchanged between the parties between the 23rd of July 2024 and the 3rd of September 2024, appearing from page 49 to page 55 of the record, which are encrypted 'without prejudice', are privileged and therefore not admissible evidence.

b. Whether or not the *Turquand* Rule is applicable in the affirmative to the undertakings and acknowledgement made by the Defendant in favour of the Plaintiff."

I hasten to state that the second issue does not arise at this preliminary stage. It was a product of the plaintiff's own invention. Counsel also argued that the defendant, in its letter dated 12 February 2025 at p 95, had stated that the correspondences between the parties marked "Without Prejudice" were privileged communication and, therefore, inadmissible. On the effect of the letters written on a "without prejudice" basis, I was referred to the American case of *Casteno* v *Gabriel*, 302 NYS 2d, 943 at 946 (1969) and the judgment of this court in *Kazingizi* v *Kazingizi & Anor* HH 797/15. They all support the position that merely labelling a document "without prejudice" does not necessarily confer any privilege on the contents, and that once an agreement or a settlement is reached, the negotiations leading thereto should be available to the court, as there would be no basis for any non-disclosure.

It was argued that once the negotiations have resulted in a settlement, then the documents exchanged during negotiations cease to be privileged. From pp 49-55, the defendant offered a payment plan which contains a definite amount. It did not say that the figure was a tentative one yet to be verified. There is clarity in the defendant's letter dated 23 July 2024 at p 49. It was submitted that the parties effectively then agreed that the defendant pay the acknowledged amount commencing on 15 August 2024, with the initial instalment of US$20,000.00. The defendant went on to pay US$5,000 as part payment of its firm commitment and acknowledgement. The doctrine of pre-emption would apply. The defendant should not be allowed to approbate and reprobate or blow hot and cold.

It was further argued that, as held in *Kazingizi*, there was nothing privileged in a payment plan. The court must exercise its discretion and remove the privilege attached to the defendant's letters and hold the defendant bound by its acknowledgement and undertaking. The parties' further discussions concerned the quantum of the monthly instalment payments as opposed to the amount due to the plaintiff. An agreement was reached pertaining to payable instalments, and the defendant partially performed accordingly. The letters from the defendant were characterised by firm, assured and final undertakings. The defendant made an unequivocal and unconditional acknowledgement of debt. For those reasons, the defendant's payment plan and communications

thereof on a "without prejudice" basis would be admissible and enforceable against the defendant.

It was also further submitted that the *Turquand* Rule was applicable to bind the defendant to its undertakings to the plaintiff. The rule was set out in *Royal British Bank* v *Turquand* (1856) 6 E & B 327, 119 ER 886. The rule was part of s 12A of the old Companies Act and was applied in *Powerspeed Electrical Limited* v *Enfield Zimbabwe* HH 107/14 and the case of *Ngatibataneyi (Pvt) Ltd* v *Moyo & Anor* SC 13/07. 28. The rule has also been incorporated into s 24 of the Companies and Other Business Entities Act [*Chapter 24:31*]. Accordingly a registered business entity shall be estopped from denying the truth if any person having dealings with that registered business entity or with someone deriving title from that registered business assumes that the internal regulations have been complied with, the person acting for the company has been duly appointed and a document has been sealed by the company if it bears what purports to be the seal of the company or its letterhead as is in the present case. See also *Vaki vs. Realty Micro Finance (Pvt) Ltd* HH497/24.

Counsel also submitted that the defendant cannot distance itself from the undertaking signed for by both its chief executive officer and treasurer. It has not been expressed that they did not have the authority to act for the defendant. As at 23 July 2024, the defendant expressly acknowledged owing the plaintiff the sum of US$405,000.00 plus 'remaining balance'. Accordingly, the defendant should be estopped from seeking to deflect from its previous undertaking. In his view, counsel submitted that the legal issues are dispositive of the matter and a trial may not be necessary in the circumstances. I must admit that the narrow issue I can properly determine at this stage does not permit me to venture into the *Turquand* Rule or dispose of the matter by simply determining the first legal issue. As I will highlight later in this judgment, the issue of liability is one which must be established through evidence. The parties have not led any evidence, as there are disputed facts. The admissibility or enforceability of the payment plan is what I can only properly resolve at this stage, and that will define how the trial will then proceed.

There was a prayer for costs to be awarded on a higher scale as the basis that the defendant's insistence on claiming privilege was frivolous or vexatious, and that the defendant

was simply seeking to delay payment. It was also argued that the defendant was, therefore, not a *bona fide* litigant. The claim ought to be granted with costs on an attorney-client scale.

Per contra, it was submitted, for the defendant, that the plaintiff's claim exceeds the amount that would be lawfully due as union fees and is not grounded in any statutory provision. Counsel submitted that s 54 of the Act is peremptory. The plaintiff may only collect dues through the mechanisms expressly provided for in that section. The plaintiff cannot base its claim on what it alleges to be acknowledgements of debts, as these are not the lawful mechanisms for the computation or recovery of union dues. I was referred to the cases of *Moyo & Ors* v *Zvoma & Anor* SC 28/10 and *Shumba & Anor* v *Zimbabwe Electoral Commission & Anor* SC 11/08, where it was held that the use of the word "shall" makes the statutory provision peremptory and that failure to comply with a peremptory requirement of statute renders the act invalid. Accordingly, it was argued that the alleged acknowledgement of debt relied upon by the plaintiff cannot found a cause of action as it does not comply with s 54. They argued that what the plaintiff sought was improper. See *Mashonaland Tobacco Company (Private) Ltd* v *Mahem Farms (Pvt) Ltd & Anor* SC 152/20 at p 9. I must state in passing that the defendant argued an issue which I am not called upon to determine, at least from the parties' statement of facts. The issue I ought to determine is very narrow.

On the issue of admissibility of communications marked "without prejudice," it was submitted that admissions made in the course of genuine negotiations for a settlement are privileged and may only be admitted with the consent of both parties. Counsel argued that, as set out in *Naidoo v Marine & Trade Insurance Co Ltd* 1978 (3) SA 666, the rationale for the rule on "without prejudice" is in public policy. It is meant to encourage the resolution of disputes amicably without fear that if their open and candid discussions fail to yield a settlement, they will be used against them. The admissibility of without prejudice communications is a matter within the discretion of the court. The court may lift the privilege when it is essential to do so.

It was argued that the case of *Kazingizi* was an exception which should be understood in its proper context. There was never an agreement between the parties, as shown by the letters exchanged between the parties from pp 49-58. At p 58 is the last letter from the defendant querying the plaintiff's entitlement to the amount and how the figure of US$432,408.83 was arrived at. In this case, the case of *Kazingizi* is inapplicable. The general rule was set out in

Enterprise Swanepoel S.A v *Rhine Sports Investments (Pvt) Ltd* HH 169/18 that the use of the words "without prejudice" in a letter showed that it was privileged and cannot be used as evidence in court. Public policy militates against the admission of the communications relied upon by the plaintiff. The court ought not to allow them to be used. It was also argued that the letters were held inadmissible before CHITAPI J.

Counsel further argued that the *Turquand* Rule does not operate to validate actions taken in contravention of peremptory provisions. The plaintiff cannot rely on the rule to justify a claim that is not grounded in the mechanisms prescribed under s 54 of the Act. The contention was further that any purported "acknowledgement of debt" or informal arrangement that does not comply with s 54 is invalid, and the *Turquand* rule cannot assist the plaintiff. It cannot be invoked to cure the defect. The defendant prayed for an order declaring the letters from the defendant marked "without prejudice" inadmissible and that they be expunged from the record.

In the plaintiff's replying submissions, it was argued that the defendant failed to deal with the issues for determination. It related to the record as a whole. It was further contended that it was incorrect to characterise the claim as one based on a provision of the Act. It was only the nature of the relationship that was explained by the provisions of the Act. The acknowledgement of debt cannot be read in isolation from the parties' relationship, which is founded in terms of s 54. The plaintiff argued that there was no point at which CHITAPI J ruled that the defendant's letters were inadmissible. I must state that I did not see this ruling in the record before me. The only order that exists is the one referring the matter to trial. In any case, a judge at a PTC cannot make any substantive ruling where parties are not in agreement outside where the other party is in default. Any issues in dispute can only be resolved at the trial.

It was also argued that it remained irrelevant that the plaintiff did not state that its claim was based on specific undertakings by the defendant. The case of *Mashonaland Tobacco* was argued out of context. The plaintiff's cause of action is unpaid union dues by the defendant in the sum of US$432,408.83 as of May 2024. The defendant's mandate to collect such union dues and remit them to the plaintiff is governed by s 54 of the Act. The letters exchanged and the monthly schedules compiled by the defendant are simply part of the evidence to sustain the plaintiff's case. He insisted that the case of *Kazingizi* outlined the legal position applicable to this case. It was not in dispute that in its letter dated 23 July 2024, the defendant accepted liability. There

would be no prejudice to talk about as liability had already been accepted, and the defendant was fully aware that its liability was arising from unremitted union dues. The negotiations that continued until 3 September 2024 had to do with the payment plan itself as opposed to negotiations on whether the defendant was liable to pay or not. It is not disputed that the defendant partially performed its undertaking by paying US$5,000.00 on 4 September 2024. There would be nothing contrary to public policy arising from the plaintiff relying on the defendant's prior firm undertaking.

It was finally submitted that there were no meaningful submissions on the *Turquand* Rule made by the defendant. It was irrelevant to plead s 54 of the Act. The principle affirms the plaintiff's position that dealings communicated with third parties are binding. The plaintiff accordingly insisted on its prayer for the defendant to be found liable and pay costs on a punitive scale.

ISSUE FOR DETERMINATION

It is clear from the written submissions filed by the parties that they strayed into other issues, which I cannot properly determine at this stage. There are only two legal issues arising from the statement of facts, namely:

> "(i) Whether or not the payment plan which was issued by the Defendant to the Plaintiff on a without prejudice basis, but partly performed, is enforceable at law.
>
> (ii) If so, whether the Defendant is liable to pay the claimed amount."

If one carefully considers these issues, it is only the first issue that the court can determine at this stage. The first issue relates to the enforceability and, therefore, the admissibility of the payment plan issued on a letter marked "without prejudice". The second legal issue, whether the defendant is liable to pay, is an issue I can only validly determine after hearing the evidence from the parties. Accordingly, I will restrict myself to the issue that can be properly determined at this stage, which would be the first issue, as it has a bearing on whether the communication marked "without prejudice" can be used as evidence or whether it ought to be considered privileged and, therefore, expunged from the record.

I cannot enter judgment in favour of any party at this stage as no one would have proved their case. The resolution of the first issue is not dispositive of the matter. The arguments on the *Turquand* Rule and the alleged failure to comply with the peremptory provisions of s 54 of the

Act are not ripe for my consideration at this stage. I will not deal with them as they are irrelevant for the determination of the first legal issue.

The sole question I must, therefore, properly determine is whether or not the payment plan which was issued by the defendant to the plaintiff on a "without prejudice" basis, but partly performed, is enforceable at law, thus admissible as evidence. At this stage, the question is restricted to the enforceability or admissibility of the communication related to the payment plan made on a "without prejudice" basis.

ANALYSIS

The law on documents marked "without prejudice" is well-established. The law was remarkably restated in *Kazingizi* (*supra*) at pp 3-4, where MATHONSI J (as he then was) said:

> "Let me first deal with the issue of the "without prejudice" letter of 9 April 2014 addressed by the defendant to the plaintiffs' legal practitioners. It is significant that no direct claim is made to privilege except what was raised by Ms *Magaya* from the bar. Even if it was, it would not be available to the defendant. The expression "without prejudice" is often written across the face of a document or communicated expressly to convey the message that the party communicating the document will not be prejudiced by the subsequent communications which are conducted with a view to the settlement of a dispute.
> Of course, even parties who do not know what they are doing or why they are doing it often timidly inscribe the maxim on correspondence out of fear of being held to account for what they would have communicated. **I say this because there is no logic whatsoever for a party who accepts liability to refund money paid in anticipation of the conclusion of a sale agreement and is making a payment plan, to then send the payment plan on a "without prejudice" basis. What prejudice is there to talk about?**
> In our law, documents do not necessarily have to be marked "without prejudice" for them to be protected: *Gcabashe* v *Nene* 1975 (3) SA 912 at 941 E. **Inversely, merely labelling a document "without prejudice" does not necessarily confer any privilege on the contents. What is important is whether the communication is considered privileged from an objective point of view**: *Crowford* v *Roset and Cornale* (1992) 69 B.C.L.R (2d) 349; *Podovinikoff* v *Montgomery* (1984), 59 B.C.L.R 204.
> As a general rule, statements that are made expressly or impliedly on a without prejudice basis in the course of *bona fide* negotiations for the settlement of a dispute will not be allowed in as evidence: *Naidoo* v *Marine & Trade Insurance Co Ltd* 1978 (3) SA 666. The resolution of a dispute with a genuine view to settlement appears to be the main consideration. **If the settlement is thereafter reached, the negotiations leading up to it should be available to the court since the whole basis of the non-disclosure would have fallen away**: *Gcabashe* v *Nene* (*supra*).
> I must also add that the parties to negotiations may also consent to the admission of without prejudice communications. Exceptional circumstances, such as the use of without prejudice communications to prove certain things, e.g., that it contains a threat, may permit a departure from the general rule: *Naidoo* v *Marine & Trade Insurance Co Ltd* (*supra*), at 667 F: *Hoffend* v *Elgetu* 1949 (3) SA 91 (AD). In *Hirschfeldt* v *Standard Charted Bank of Botswana* [1996] BLR 640 (CA) the document concerned was admitted into evidence because its only use was to prove the credibility of the defendant." (*my emphasis*)

The court further said:

> "**In the final analysis, it is always in the discretion of the court to determine whether to admit or not to admit without prejudice communications**. In exercising its discretion, the court may remove the privilege attaching to such communication if it deems that the admissibility of such communication is essential in proving certain things, such as the credibility of a witness, or if it considers that the upholding of the privilege would be contrary to public policy, for instance where the communication contains a threat or an act of insolvency.
>
> **In my view there was nothing privileged in a payment plan.** It presents a classical case for the removal of the privilege attaching to letter as I proceed to do in the exercise of my discretion." (*my emphasis*)

It is further accepted that an agreement cannot be without prejudice or privileged, only the negotiations can. See *ZESA Holdings (Pvt) Ltd* v *Utah* SC 32/18.

In this case, there is no dispute that the defendant sent a commitment payment plan on 23 July 2024. See p 49 of the record. The letter to the plaintiff was marked "Without Prejudice". I will quote the said letter *verbatim*. It stated as follows:

> "23 July 2024 WITHOUT PREJUDICE
> The Secretary General
> No. 4 Harare Street and
> Kwame Nkuruma
> Alfa House
> Harare
> **RE: THE COTTON COMPANY OF ZIMBABWE LIMITED COMMITMENT PAYMENT PLAN FOR OUTSTANDING AMOUNT**
> Reference is made **to Cottco's outstanding dues to the Trade Union which accrued over the past seasons**, we would like to sincerely apologise for the delay in payment and **would like to assure you that we are committed to clearing this obligation**.
> We are in the process of negotiating with our banks for next seasons facilities to adequately prepare for the forthcoming 2024/25 season. However, we are anticipating lint and ginned seed sales to commence in September 2024. The crop is however small and we expect actual business will resume sometime in March of 2025 following the 2025 crop validation.
> It is against this background that **we are proposing to liquidate outstanding dues as per attached schedule** Annexure 1.
> We look forward to hearing from you.
> Yours faithfully
> For: The Cotton Company of Zimbabwe Limited
>
> Mr R Mutema Mr T. Gorejena
> Chief Executive Officer Treasurer"
>
> (*my emphasis*)

Annexure 1 thereof, which contained the various amounts the defendant proposed to pay per month, was attached and is at p 50 of the record with the first instalment of US$5,000 payable in September 2024.

In this document, in clear terms and unconditionally, the defendant acknowledged its indebtedness to the plaintiff for the accrued union dues not remitted over the years. In the letter, the defendant made a proposal to liquidate the outstanding dues in terms of a schedule attached thereto, which proposed monthly instalments of US$20,000.00 from September 2024, with the remaining balance payable in January 2027. There is no dispute that the letter was signed by the defendant's Chief Executive Officer and Treasurer. Their authority to do so on behalf of the defendant was not challenged. In the letter, the defendant did not challenge liability at all. The defendant clearly accepted its liability to pay the plaintiff the amount outstanding in very clear and unambiguous language. What the parties pondered over in the communications that followed was simply the issue of the appropriate quantum of the monthly instalments the defendant would pay. As regards the debt due or the amount outstanding, there was no dispute.

The letter dated 30 July 2024 at p 52 was now related to the amount payable as the instalment per month to retire the debt. The plaintiff accepted the first instalment of US$20,000 proposed. The said letter is at p 53. The copy stated as follows:

> "31 July 2024
> The Chief Executive Officer
> COTTCO
> No. 1 Lytton Road
> Harare
> Attention: Mr Mutenha
> Dear Sir,
> RE: THE COTTON COMPANY OF ZIMBABWE LIMITED COMMITMENT PAYMENT PLAN FOR OUTSTANDING AMOUNT
> Reference is made to the above regarding Union subscription amount owed.
> We would like to remind you that the amount is a carryover from way back before the drought.
> The first instalment of US$20 000.00 (twenty thousand dollars) is accepted.
> But the US$5 000.00 is not, instead we would appreciate it if increased to US$10 000.00 monthly instalments.
> The Union is faced with the task of constructing Union offices.
> Yours faithfully
> Alfred Makwarimba
> GENERAL SECRETARY"

There is no dispute that following this letter and on 4 September 2024, the defendant went on to pay US$5,000.00 towards the debt. It is clear from these circumstances that the parties agreed on what was due and also that the defendant would pay an initial instalment of US$20,000.00. I agree, as set out in *Kazingizi* (*supra*), that there was nothing privileged in a payment plan. Thus, labelling this letter "without prejudice" in these circumstances does not

necessarily confer any privilege on the contents thereof. From an objective point of view, the defendant and plaintiff reached a liability settlement, that is, there was an agreement between the parties of what the defendant would pay, as the amount due. The outstanding amount was clear to all the parties. There is nothing to suggest otherwise if one considers the content and tone of that letter at p 49. The parties also agreed on the payment of the first instalment, and the defendant even partially performed the payment plan it presented. Essentially, the parties had settled on the debt due. No privilege can, therefore, attach to the payment plan. The communications leading to the settlement cannot, therefore, be protected from non-disclosure. It would not, in my view, militate against public policy if such privilege is removed. I associate myself with the remarks by MATHONSI J (as he then was) in *Kazingizi* (*supra*) that there is nothing privileged in a payment plan.

The defendant clearly made an unequivocal and unconditional acceptance of the debt when it wrote the letter dated 23 July 2024 at p 49. To that extent, the payment plan partially performed would be enforceable against it. Clearly, the defendant cannot approbate and reprobate. This is a settled principle of the law. See *Alliance Insurance* v *Imperial Plastics (Pvt) Ltd & Anor* SC 30/17 where MALABA DCJ (as he then was) said:

> "It is trite that where there are two courses of action open to a litigant, as the appellant had, to either challenge the constitutionality of Article 34 or apply for the setting aside of the arbitral award in terms of that provision, and it unequivocally elected to take one of them, it cannot turn round afterwards and take the other course of action. The point was made in *S* v *Marutsi* 1990 (2) ZLR 370 at p 374B that:
>
> > "It is trite that a litigant cannot be allowed to approbate and reprobate a step taken in the proceedings. He can only do one or the other, not both."

It was either that the defendant deny liability and stand on that course or it accepted the indebtedness and be bound by it. It cannot do both. Accordingly, the fact that the defendant would later seek to appear as if it was not aware of its earlier communications in its letter at p 58, written after the letter of demand by the legal practitioners, cannot assist the defendant's case. It cannot blow hot and cold. Once it had earlier accepted liability, it could not turn and deny liability for what it had accepted. I do not agree with counsel for the defendant that I should not apply the principles set out in *Kazingizi* (*supra*). In these circumstances, the alleged privilege ought to be removed. I, therefore, find the payment plan submitted on 23 July 2024 and later partially performed to be admissible as evidence and enforceable against the defendant. While

the court related to the general rule on admissibility of letters marked "without prejudice" in *Enterprises Swanepoel S.A* (*supra*), in my view, the letter in that case cannot be compared to the one *in casu*. That before me, if taken in the context of the plaintiff's claim, accepted liability to pay what was due and went on to present a payment plan as a commitment to clear the undisputed debt due. To that extent, with that agreement by the defendant to what was claimed, there can be no basis to claim any privilege.

The plaintiff also asked the court to determine the second legal issue and hold the defendant liable to pay the debt with costs on a punitive scale. Extensive submissions were also made on the application of the *Tarquand* Rule. As I have alluded to above, the second issue cannot be determined at this stage, where the parties have not led evidence. The first issue relates only to the admissibility and enforceability of the payment plan and the relevant communication made in relation thereto. My ruling on the admissibility or enforceability of the payment plan made in a letter marked without prejudice does not dispose of the matter. The *Turquand* rule does not arise at this stage. The same applies to the argument by the defendant on what he claimed was not a valid claim or cause of action on account of the alleged failure to comply with the peremptory requirements of s 54 of the Act. That argument does not relate to the first issue for determination before me. It is a completely different issue which the court cannot entertain in the determination of the narrow first legal issue.

DISPOSITION

Given the acceptance by the defendant of its liability to pay the debt in unequivocal language in its letter dated 23 July 2024 at p 49, there was nothing privileged in the contents thereof. The letter is admissible and enforceable at law against the defendant. There is no prejudice to talk about in the circumstances. After having agreed to pay the debt unconditionally in that letter, its agreement to pay the amount due cannot be without prejudice or privileged. The tone and content of that letter showed that the defendant was accepting liability and intended to bring the matter to finality, hence the accompanying schedule revealing the payment plan to retire the debt. The without prejudice mark cannot, in the circumstances, make the document unusable as evidence. This position was also endorsed by the Supreme Court in *ZESA Holdings* (*supra*) at p 7, where GWAUNZA JA (as she then was) said:

> "**The content and tone of this acceptance letter by the respondent in my view admits of no doubt as to the intention, by him as much as by the appellant, to bring finality to the dispute in this manner**. This is regardless of some indications in the letter that the respondent had signed the 'retrenchment' package on a 'without prejudice basis. [This would, in any case, not have changed the character and effect of the agreement, for that is not capable of being concluded on a "without prejudice" basis. See *Yakub Mahomed v John Arnold Bredenkamp HH 130/16,* where it was held as follows;
>
> > "I also find persuasive the submission made on behalf of the plaintiff that **an agreement cannot be without prejudice or privileged**, only the negotiations can…"]" (*my emphasis*)

I, therefore, accept the enforceability and, conversely, the production of the said letter at pp 49-50 of the record to establish the defendant's liability in this matter at the trial. The decision, as I have noted above, does not resolve the matter. It simply means that the plaintiff must now be allowed to lead evidence while cleared to use the said document at pp 49-50. Equally, the other letters being part of exchanges on a claim which parties have settled or have agreed that the defendant would pay the plaintiff the outstanding amount, would equally be admissible in the circumstances. I, however, find the prayer that I grant the claim at this stage incompetent, as my determination is clearly on a narrow issue which is not dispositive of the matter.

In the result, it is ordered as follows:

1. The payment plan at p 49-50 of the record, which was partially performed, shall be enforceable against the defendant and, therefore, admissible as evidence before this court.
2. The Registrar is directed to set the matter down for the plaintiff to open its case.
3. Costs shall be in the cause.

DEMBURE J: ……..

M D Muchada Legal Practice, plaintiff's legal practitioners
Dube, Manikai and Hwacha, defendant's legal practitioners